

There are multiple methods of estimating company's value. Most of them rely on historical numbers and are thus redundant for start-ups as there is very little operating history. Thus, not all methods of valuation can be used for start-ups. Also, negotiation play a critical role in closing of a deals at any given value.



The more confidence the investor has in you, your market, and your approach, the higher valuation they will be ready to offer you.



This is because more confidence reduces the perceived risks and the investors think of the investment as relatively less

In the next section, we will understand the factors driving valuation.